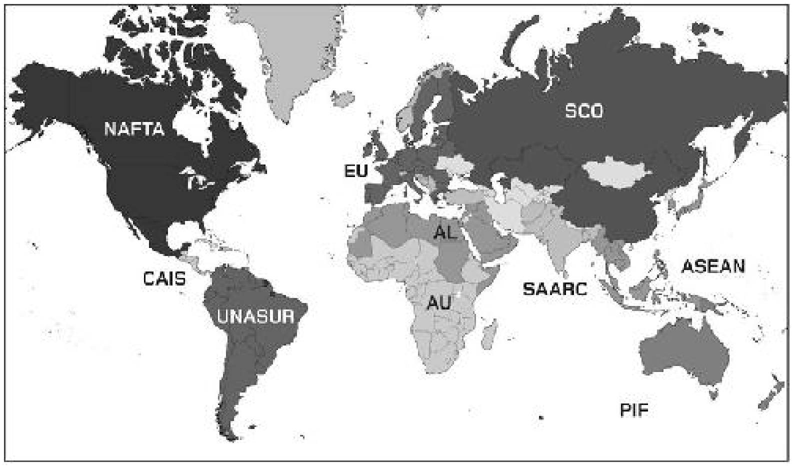
Protectionism and trade wars

Major global trading blocs



AL: Arab League
ASEAN: Association of Southeast Asian Nations
AU: African Union
CAIS: Central American Integration System
EU: European Union
NAFTA: North American Free Trade Agreement
PIF: Pacific Islands Forum
SAARC: South Asian Association for Regional Cooperation
SCO: Shanghai Cooperation Organization
UNASUR: Union of South American Nations

Economic theory says that there are great gains to be had from trade. When two countries specialize in particular goods and engage in trade, both are better off. Protectionism is a policy under which countries close themselves off from international trade, often by putting tariffs (taxes) or quotas on foreign imports. Because these policies unravel the gains from trade, most economists argue that they are economically damaging. Often there are calls for protectionism during times of economic crisis: the hope is that growth and employment can be maintained by insulating the domestic economy from foreign competition. The problem is that trading partners may try similar policies themselves, sparking a trade war and eventually leading to lower trade and income in both countries, as happened during the Great Depression of the 1930s. Some economists argue that temporary, targeted protection can be useful to help countries develop ‘infant industries’ that need to be cushioned from foreign competition until they are efficient enough to compete internationally.